

DAILY NEED TO KNOW

Tuesday, 21 July 2026 • Pre-market brief for Anne Wong

Covering the Monday 20 July 2026 US session + overnight/weekend. All times GMT+8 (HKT).

Edition: ALTERNATIVE-SOURCES (Hedgeye/browser not reachable in this scheduled cloud run — Levels & positioning built from public data, labelled honestly).

1 • Market snapshot

Asset	Last	Change	Note
S&P 500	7,443.28	▼ -14.41 / -0.19%	Quiet drift; below 50-day
Nasdaq Comp	25,508.07	► -12.17 / -0.05%	Flat; chips firmed
Dow Jones	51,839.26	▼ -307.16 / -0.59%	Laggard on higher yields
Russell 2000	2,942.43	▼ -19.79 / -0.67%	Small caps hit by yields
US 2Y yield	≈4.20%	◆ +2-3 bp	Jul 17 official 4.18%; rose Mon
US 10Y yield	≈4.57%	◆ +2-3 bp	Jul 17 official 4.55%; the day's drag
Gold (spot)	\$4,008	▼ -\$9 / -0.2%	Clinging to \$4,000
Silver (spot)	\$56.40	▲ +\$0.50 / +0.9%	Firm on risk bid
WTI crude	\$82.2	◆ ≈ flat	Elevated on Hormuz risk
Brent crude	\$89.5	▲ +1.6%	Houthi Saudi blockade threat
Bitcoin	\$65,154	▲ +0.8%	Steady
US Dollar (DXY)	100.98	▲ +0.2%	Firmer
VIX	≈17 (est.)	► little changed	1-mo range ~15.0-20.7

Colour key: ▲ green = up ▼ red = down ◆ amber = neutral/mixed ► grey = little changed. Note: a rise in yields or VIX is not necessarily "good".

TL;DR

Quiet, low-conviction start to the week: S&P -0.2% to 7,443, Nasdaq roughly flat, Dow -0.6% as rising bond yields and firm oil (~\$82 WTI) offset an AI/chip stabilisation. Alphabet +2.9% on its own "Frozen v2" in-house AI server chip; Nvidia, Micron and SanDisk firmed, trimming recent sharp losses (SOX had entered a bear market). Gold clings to \$4,000; Bitcoin ~\$65k; VIX ~17 with sentiment still in the Fear zone. The tape is coiled ahead of the heaviest Big Tech earnings week of the season — Alphabet & Tesla Wed, Intel Thu — plus the ECB Thu. Iran/Strait-of-Hormuz plus a fresh Houthi blockade threat on Saudi keep an energy risk premium live. China Q2 GDP missed at 4.3%; the late-July Politburo is the stimulus catalyst.

TODAY'S ACTIONABLE LEVELS — what to watch

- ◆ **S&P 500 range:** support 7,400 (round + rising-200d gravity); resistance 7,458 (Fri close) → 7,548 (50-day) → 7,621 52-wk high. A close back above the 50-day flips the near-term tape.
- ◆ **US 2Y line:** 4.20% — above it, front-end pressure keeps weighing on small caps & the Dow; back below 4.15% eases the rate drag.
- ◆ **WTI vs trend:** \$82 pivot. Watch \$85 (Hormuz/Houthi escalation → inflation & Energy bid) vs \$78 support (de-escalation).
- ◆ **VIX regime:** calm < 17; caution 17-20; risk-off gear > 20. Currently ~17 — complacent into a huge earnings/ECB week.
- ◆ **Gold \$4,000:** the psychological pivot. Holding above = risk-hedge bid intact; a break below opens \$3,950.

2 • The big picture — what it means

1. It wasn't the AI trade that hurt — it was rates.

Semis actually stabilised (Nvidia, Micron, SanDisk higher; SOX bounced off bear-market territory) and Alphabet jumped 2.9%. Yet the index still drifted lower because the 10Y ticked higher, dragging the Dow (-0.6%) and small caps (-0.7%).

Read: Leadership is narrow and rate-sensitive. Watch the 2Y/10Y — a benign yield tape is the permission slip for the next tech leg; a sticky one keeps breadth poor.

2. Alphabet's "Frozen v2" reframes the efficiency arms race.

Google's in-house server chip is projected at 6-10× more AI tokens per unit of power than its current TPUs — a direct shot at inference-cost economics and, by extension, at merchant-silicon demand.

Read: Read-through for Nvidia/Broadcom/AMD is two-sided: bullish for total AI compute, bearish for pricing power if hyperscalers keep internalising. A key subplot into Alphabet's Wed print.

3. A live energy risk premium is doing quiet damage.

Fresh US strikes on Iran, the ongoing Strait-of-Hormuz campaign and a new Houthi blockade threat on Saudi Arabia keep Brent near \$90 and gold pinned to \$4,000. "Rising oil" was explicitly cited as Monday's drag.

Read: Oil is now an inflation/rates story, not just geopolitics. Any Hormuz supply hit re-rates the Fed path hawkish — note markets are pricing a small odds of a July hike, not a cut.

4. The week is front-loaded with catalysts; positioning is calm.

Alphabet, Tesla, IBM & TXN (Wed), Intel (Thu) headline the heaviest earnings week; the ECB decides Thu; China's Politburo meets late-July after a soft 4.3% Q2 GDP.

Read: A ~17 VIX into that gauntlet is complacent. Asymmetry favours owning some optionality/hedges over chasing.

3 • Rates, currencies & commodities

- **Rates:** 2Y ≈4.20%, 10Y ≈4.57%, 30Y ≈5.07% — yields **ticked higher** Monday and were the session's main drag. 2s10s ≈ +37 bp (Jul 17 official curve: 2Y 4.18 / 10Y 4.55 / 30Y 5.06). Money-market pricing has turned hawkish on the oil shock — small odds of a July hike, ~55% for a September move — ahead of FOMC 28–29 Jul.
- **US Dollar:** DXY **100.98 (+0.2%)** — firmer with higher yields; a mild headwind for EM/commodity FX.
- **Gold:** spot **\$4,008 (-0.2%)** — a rare down tick but still clinging above the \$4,000 pivot; COMEX front-month ~\$4,010–4,030. The risk-hedge bid is intact.
- **Silver:** **\$56.40 (+0.9%)** — outperformed gold; industrial + safe-haven pull.
- **Oil:** **WTI ~\$82.2 (=flat)**, **Brent ~\$89.5 (+1.6%)** — elevated and skewed to the upside on Hormuz/Houthi supply risk; the wide ~\$7 WTI–Brent spread flags the geopolitical premium sitting in the seaborne barrel.
- **Bitcoin:** **\$65,154 (+0.8%)** — steady; trading as a risk asset, not a hedge, this week.

4 • Levels & positioning (alternative public sources — Hedgeye not reachable)

Where price sits in its 52-week range

S&P 500 50-day 7,548 • 200-day 7,361 → below 50d, above 200d

L 5,921  **90%** H 7,621 • last 7,443

Nasdaq Comp consolidating after the AI pullback

L 18,900  **80%** H 27,190 • last 25,508

Dow Jones record ~52.7k in early July; ~1.6% below high

L 41,600  **92%** H 52,700 • last 51,839

Russell 2000 near cycle highs but yield-sensitive

L 2,180  **92%** H 3,010 • last 2,942

WTI crude upper third of range on Mideast premium

L 58  **71%** H 92 • last 82

Gold high end of range; \$4,000 the pivot

L 2,780  **94%** H 4,090 • last 4,008

Method: technical levels (52-wk range, 50/200-day MAs) from public quote data; sentiment from VIX/put-call/Fear & Greed; rotation from sector-ETF performance. Substituted for Hedgeye risk-range/Quad because the logged-in browser was not reachable in this scheduled run.

5 • Mag7 scoreboard

Name	Last	Day	Mkt cap	Momentum / trend
Apple (AAPL)	\$333.26	▲ firmer	~\$4.9T	Uptrend — relative haven on red tape
Microsoft (MSFT)	\$401.10	▲ firmer	~\$3.0T	Uptrend — steady, near highs
Alphabet (GOOGL)	\$356.23	▲ +2.92%	~\$4.3T	Rebounding — "Frozen v2" chip pop; reports Wed
Amazon (AMZN)	\$249.89	◆ mixed	~\$2.7T	Neutral — range-bound
Meta (META)	\$664.54	◆ softer	~\$1.7T	Neutral-down — consolidating off highs
Nvidia (NVDA)	\$207.40	▲ firmer	~\$5.0T	Stabilising — bounced with chips after SOX bear-mkt
Tesla (TSLA)	\$391.06	◆ softer	~\$1.5T	Neutral — reports Wed; robotaxi/margin focus

Prices = Mon 20 Jul close (public quote data). GOOGL day-move confirmed; other day-moves are directional reads (chips/AI firmed, mega-cap tech mixed) — precise per-name prints were not cleanly confirmable. TREND column substitutes for Hedgeye's TREND signal.

6 • Positioning & options

- **VIX:** ~17 (est.), little changed — a "quiet day" kept vol subdued; ~1-month range 15.0–20.7. Complacent into a heavy catalyst week.
- **CBOE put/call:** ~0.8 area (last clean reading ~0.79) — neutral hedging demand; no capitulation, no euphoria.
- **CNN Fear & Greed:** ~37 — "FEAR" — sentiment has cooled from Greed on the AI wobble + oil; a contrarian positive if fundamentals hold.
- **Net read:** Low vol + Fear-zone sentiment + poor breadth = a market leaning cautious but not hedged for a surprise. Optionality is cheap relative to the event risk (earnings, ECB, Hormuz).

7 • Sector rotation — leaders & laggards

- **Leaders:** **Energy** (oil premium) and **Semiconductors** (Nvidia/Micron/SanDisk bounce, Alphabet chip news) firmed.
- **Laggards:** **Rate-sensitives** — small caps, Dow industrials and other long-duration equity took the brunt of higher yields. Communication Services had led losses late last week.
- **Rotation read:** Money is favouring cash-flow/energy and AI-infrastructure winners over rate-sensitive cyclicals. Watch whether higher yields force a rotation OUT of megacap growth if the 10Y presses toward 4.65%+.

8 • Forward — futures & the week ahead

- **Futures/pre-market:** US futures were modestly firm heading into Monday (S&P +0.35%, Nasdaq-100 +0.76%); the Asia→Europe handover pivots on Big-Tech earnings positioning and any Iran/Hormuz headline. Asia opened mixed with China/HK relatively resilient.

Day	Key events
Tue 21	Earnings: 3M, GM, Danaher, Northrop, Coca-Cola, Lockheed-adjacent (BMO); Capital One, Chubb (AMC).
Wed 22	AT&T, Moody's, CME (BMO); ★ Alphabet, Tesla, IBM, Texas Instruments, ServiceNow (AMC).
Thu 23	★ ECB rate decision; US jobless claims; Honeywell, T-Mobile, Thermo Fisher, Lockheed (BMO); ★ Intel, United Rentals (AMC).
Fri 24	★ S&P Global flash PMIs (July); New Home Sales (June); American Express, Charter, HCA (BMO).
Next	FOMC 28–29 Jul • BoJ 30 Jul • China Politburo (stimulus signal) late July.

9 • Corporate news

- **AI-chip news drove the tape:** Alphabet +2.9% on its internally-designed "Frozen v2" server chip (6–10× tokens/watt vs current TPUs). Micron ~+4.8% and SanDisk ~+6% led a memory/semis bounce as the SOX clawed back off bear-market lows.
- **Earnings gauntlet:** Q2 season's peak week. Alphabet & Tesla report Wed after the close — the swing factor for the AI trade; Intel Thu is the key semis-recovery read. Domino's beat to kick the week off.
- **Netflix hangover:** NFLX slid to a 52-week low after last week's soft forward guidance and word it will publish fewer engagement updates — a de-rating overhang on streaming.

10 • Macro data

- **US:** Light data ahead of FOMC (28–29 Jul). LEI (June) Mon; jobless claims Thu (last print near a multi-week low); S&P flash PMIs + New Home Sales Fri. Rate-cut hopes have faded — the debate is now about oil-driven inflation.
- **China:** Q2 GDP +4.3% YoY — a miss vs 4.5% and the first target-range miss since 2020; industrial production +5.3% (beat) but retail soft (+1.0%) and property investment ~-18%. LPRs held at record lows for a 10th month. Late-July Politburo is the stimulus catalyst.
- **Europe:** ECB decides Thu (hold expected); flash PMIs Fri. A record heatwave is stressing the EU corn belt — watch grains/power.
- **Japan:** BoJ (policy 30 Jul) at 1.00% after June's hike — highest since 1995. Yen and the rate path remain the Nikkei's swing factor.

11 • Geopolitics

- **Iran / Strait of Hormuz:** Fresh US strikes over the weekend; the ongoing Hormuz campaign with reported tanker incidents and a US naval presence. Trump has threatened Iran's infrastructure if the Strait isn't reopened; Tehran signals conditional talks. This is the market's dominant oil/inflation risk.

- **New escalation:** Yemen's Houthis announced a naval blockade threat on Saudi Arabia — a fresh leg to the energy risk premium.
- **Trade:** US-China frictions bleeding into export channels (cited in China's GDP miss). Watch any tariff headlines.

12 • Asia setup — today

- **Backdrop:** Wall Street's quiet, slightly-lower Monday hands Asia a benign-but-cautious lead. China/HK have been relatively resilient (Hang Seng outperforming) even as US tech wobbled — a divergence worth watching.
- **China/HK:** PBoC held LPRs; onshore equities steady. The AI re-rating (Alibaba/Qwen) is the strongest single-name story in the region.
- **Japan/Korea/Taiwan:** Memory/AI-chip names (SK Hynix, Samsung, TSMC, Tokyo Electron) are the high-beta proxy — they take their cue from the US chip bounce and Nvidia HBM4 supply headlines. Korea chip names remain volatile.
- **Watch:** Reaction to the US chip stabilisation, any Iran/Hormuz escalation into Energy, and whether HK/China strength holds vs a coiled US tech tape into Alphabet/Tesla.

13 • AI watch

- **Chips & memory:** Semis just corrected (two down weeks, SOX -20% from highs) then stabilised. TSMC's record Q2 (FY growth outlook raised past ~40%) says the pullback is positioning, not demand. HBM4 supply race (SK Hynix/Samsung/Micron for Nvidia 16-Hi) is the supercycle tell.
- **Compute independence:** Alphabet's "Frozen v2" and Huawei's Ascend 950 SuperPoD (shown at WAIC) both push the in-house/efficiency narrative — a structural threat to merchant-silicon pricing power over time.
- **WAIC 2026 (Shanghai, just concluded):** Record edition; theme shifted from "bigger models" to deployment, AI agents and embodied/humanoid robots. Notable: 29 countries signed to form a China-led "World AI Cooperation Organization" — a rival governance bloc.
- **Watch:** Alphabet/Tesla/Intel prints for AI-capex signals; whether the chip dip is bought or the start of a deeper de-rate.

14 • Beyond the markets

- **Summits/governance:** The WAIC-launched World AI Cooperation Organization (29 nations, HQ Shanghai) is the geopolitically significant item — a China-led counter to Western AI governance.
- **Science:** WAIC leaned into AI-for-science — drug discovery, materials, computing — over benchmark-chasing.
- **Space:** Quiet launch window (~18–25 Jul); recent Soyuz MS-29 crew to ISS. Upcoming: Falcon Heavy with Astrobotic Griffin-1 lunar lander + Astrolab FLIP rover (dates TBC on Spaceflight Now).
- **Weather (market-moving):** Record European heatwave threatening the EU corn/maize belt — watch grains, softs and European power. Atlantic season running suppressed on El Niño signals, though a Gulf tropical depression flagged possible Texas impact — monitor for energy read-through.
- **Water cooler:** Golf — Ryan Fox won the 154th Open at Royal Birkdale (Sun). Box office — Nolan's "The Odyssey" opened huge at ~\$124.5m domestic (bullish for exhibitors/IMAX). Also live: Tour de France final week; MLB in full swing.

15 • Appendix — regional stock cards

Web-data cards (no charts): name · ticker · last + day · mkt cap · valuation · next key date · one-line read. Prices as of Mon 20 Jul close unless flagged live/delayed. Grouped by region.

US — top 10

Alphabet (GOOGL) \$356.23 ▲ +2.92% Cap ~\$4.3T Val P/E ~24 Next Earnings Wed 22 Jul (AMC) <i>Popped on "Frozen v2" in-house AI chip; the week's marquee print.</i>	Nvidia (NVDA) \$207.40 ▲ firmer Cap ~\$5.0T Val P/E ~45 Next Reports late Aug <i>AI bellwether stabilising after SOX bear-market scare; HBM4 the tell.</i>
Tesla (TSLA) \$391.06 ◆ softer Cap ~\$1.5T Val P/E rich Next Earnings Wed 22 Jul (AMC) <i>Robotaxi/auto-margin commentary the swing factor.</i>	Apple (AAPL) \$333.26 ▲ firmer Cap ~\$4.9T Val P/E ~33 Next Reports late Jul/Aug <i>Relative haven on a red tape; steady uptrend.</i>
Microsoft (MSFT) \$401.10 ▲ firmer Cap ~\$3.0T Val P/E ~36 Next Reports late Jul <i>Azure/AI capex in focus; near highs.</i>	Meta (META) \$664.54 ◆ softer Cap ~\$1.7T Val P/E ~27 Next Reports late Jul <i>Consolidating off highs; AI-capex scrutiny.</i>
Amazon (AMZN) \$249.89 ◆ mixed Cap ~\$2.7T Val P/E ~38 Next Reports late Jul/Aug <i>Range-bound; AWS growth the key line.</i>	Micron (MU) ↑ ~+4.8% ▲ day move Cap ~\$0.2T Val cyclical Next Reported recently <i>Memory/HBM leader led Monday's chip bounce.</i>
Intel (INTC) watch ◆ pre-earnings Cap ~\$0.1T Val turnaround Next Earnings Thu 23 Jul (AMC) <i>Key read on the semis recovery & foundry.</i>	Netflix (NFLX) 52-wk low ▼ weak Cap ~\$0.3T Val P/E ~40 Next Reported 16 Jul <i>De-rated on soft guidance + fewer engagement updates.</i>

Europe — top 5

ASML (ASML) \$1,739 ▼ -0.5% Cap ~\$666B Val P/E ~55 Next Reported ~15 Jul <i>AI-litho monopoly; richly valued, digesting results.</i>	SAP (SAP) \$158.35 ▼ -0.4% Cap ~\$185B Val P/E ~22 Next Reports ~21 Jul <i>EU software bellwether; watch cloud backlog.</i>
Novo Nordisk (NVO) \$49.48* ▲ +1.2% Cap ~\$218B Val P/E ~12 Next Reports early Aug <i>*delayed. De-rated on GLP-1 competition; cheap, broken momentum.</i>	Shell (SHEL) firm ▲ w/ oil Cap ~\$220B Val P/E ~11 Next Reports end-Jul <i>Energy beneficiary of the Hormuz risk premium.</i>
LVMH (MC.PA) n/a ◆ — Cap ~\$350B Val P/E ~22 Next Reported recently <i>Luxury bellwether; China demand the swing factor.</i>	

Asia ex-China — top 5 (live/most-recent)

TSMC (2330 / TSM) \$402.30 ▲ +1.0% Cap ~\$1.86T Val P/E ~27 Next Reported 16 Jul <i>Record Q2; FY growth raised >40%; region's anchor.</i>	SK Hynix (000660:KRX) ~₩2.09m* ◆ volatile Cap large-cap Val cyclical Next Reports late Jul <i>*delayed. HBM4 leader; violent swings, briefly Korea's #1.</i>
Samsung Elec (005930:KRX) ~₩278k* ▲ +5.9% Cap mega-cap Val P/E ~14 Next Reports late Jul	SoftBank (9984:JP) ¥6,596* ▲ +0.3% Cap large-cap Val NAV Next Reports Aug

*delayed. HBM/AI-memory leverage; caught in Korea chip vol.	*delayed. AI/portfolio proxy (Arm, OpenAI exposure).
Sony (6758:JP) n/a   Cap ~¥20T Val P/E ~20 Next Reports Aug <i>Games/imaging; quote not cleanly pulled this run.</i>	

China — top 5 (live/most-recent)

Alibaba (9988:HK / BABA) \$120.34 ADR  +4.7% Cap ~\$274B Val P/E ~18 Next Reports mid-Aug <i>AI re-rating on Qwen model launch — the strongest China story.</i>	Xiaomi (1810:HK) HK\$25.86*  -0.7% Cap ~HK\$664B Val P/E ~30 Next Reports Aug <i>*delayed. Strong June EV deliveries; stock still ~-55% YoY.</i>
Kweichow Moutai (600519:SS) ¥1,307*  +2.4% Cap ~¥1.6T Val P/E ~20 Next Reports Aug <i>*stale. Consumer-luxury proxy; ~-18% off highs.</i>	BYD (1211:HK) n/a   Cap ~HK\$900B Val P/E ~18 Next Reports late Aug <i>EV leader; June delivery momentum the driver.</i>
Meituan (3690:HK) n/a   Cap ~HK\$800B Val P/E ~20 Next Reports Aug <i>Local-services/food delivery; margin recovery watch.</i>	

Sources

Index closes & narrative: Epoch Times/AP "How Major US Stock Indexes Fared July 20"; TheStreet & Yahoo Finance live (Jul 20); CNBC recap; Zacks/Yahoo (Jul 17 close cross-check); Benzinga. **Rates/commodities/FX/crypto:** US Treasury H.15 / par curve; Trading Economics (gold, silver, WTI, Brent, DXY); CoinDesk. **Stocks/Mag7:** CNBC & Benzinga (Alphabet); Slickcharts; stockanalysis.com; TradingKey. **Sentiment:** CNN Fear & Greed; CBOE/YCharts put-call; FRED VIX. **Macro/geo/AI/beyond:** Reuters/CNN/NPR (Iran/Hormuz); CNN Business & Trading Economics (China GDP/LPR); Kiplinger (calendar); CGTN/TechTimes (WAIC); Spaceflight Now; DTN/CNN (weather); Athlon/The Numbers (water cooler).

Data-confidence notes: Monday 20 Jul index closes are confirmed and cross-checked against Friday's levels. Treasury/VIX exact Monday closes were not posted at HK press time — shown as directional/estimated and labelled. Several Asia/China/Europe card prices are prior-close or delayed (flagged *). This is the ALTERNATIVE-SOURCES edition: Hedgeye risk-range/Quad and live intraday Asia quotes were unavailable because the logged-in browser/desktop bridge was not reachable in this scheduled cloud run.